

The Founder's Playbook

This playbook condenses two decades' worth of experience as a founder and investor into a 15-minute read. Consider it your shortcut to years of hard-earned wisdom.

I've streamlined the exact strategies and systems I used to find, validate, and launch a high-growth business in 90 days that I sold for 9 figures.

Why is this free?

It's a good question. As an entrepreneur myself, I am *highly* skeptical of anyone who puts out free content under the guise of charity. Surely they must have an ulterior motive, right?

Well, to put it simply, I do have an ulterior motive. Since selling my startup, I now make my living investing my own money in founders at my firm, L7V.

In other words, the more people read this, apply it, and start successful businesses, the more opportunities I get to invest in the next winner. So this is one of those rare win-win scenarios: the more I can help you, the more it may one day help me too.

Pretty cool, right?

Of course, I don't want any credit for your success, but do reach out when you're growing like crazy so we have a chance to invest.

With that out of the way, let's get right into it.

To your success,
Michia Rohrssen

The greatest myth in entrepreneurship

It's a simple story the news loves to tell. A young genius drops out of Harvard, founds a hot new startup, raises millions, and becomes a billionaire. The secret to their success? Their ridiculous intelligence and insight, of course!

This neat, beautiful little story is brainwashed into us from a young age, and we grow up hearing it over and over again. It's these super geniuses that move the world forward and get rewarded handsomely for it.

But there's one problem. It's a myth, completely unsupported by actual data.

You can be completely average in every way and still become wildly successful. I don't mean "nice home in the suburbs successful". I mean *own the entire neighborhood successful*.

I'm living proof – I grew up in South Carolina, where, despite being ranked in the bottom 10% for education in the US, I still barely passed my classes. College wasn't much better – I was rejected by 6 out of 7 colleges I applied to and was finally only accepted by a college that lets nearly anyone with a pulse in.

And yet, somehow, I managed to build and sell a business for 9 figures by age 31.

But don't trust me – I could just be a statistical anomaly. Take it from someone far more successful and wealthy than me: Don Valentine, the founder of Sequoia Capital, arguably the greatest early stage investor on the planet with a track record of being one of the earliest investors in: Apple, Atari, Google, Yahoo, Microsoft, EA, Nvidia, YouTube, Airbnb, Stripe, PayPal, Zoom, Instagram, and way too many more to list here.

Here's what Don says is Sequoia's secret to success:

"Many people think we invest in the best and brightest, the greatest managers, and all that stuff. We do not. We have always focused on the market. The size of the market, the dynamics of the market, the nature of the competition...We don't choose people. We choose markets." - Don Valentine

This is the dirty secret of Silicon Valley. You don't need to be an amazing leader, you just need to find an amazing market.

If the ultra geniuses of the startup world deserve any credit, it's for their ability to find amazing markets.

For the last decade, it has been my life's obsession to uncover the secrets of systematically and predictably finding these hidden opportunities and using them to make more money than I know what to do with. First as a founder and now as an investor, where I'm deploying my own money into the next wave of visionary founders.

Great markets are THE antidote to painful business deaths

You've probably heard the #1 startup killer is "building the wrong product."

This is a falsehood. It's like the surgeon admitting they "amputated the wrong leg" when it turns out the patient had heart failure.

Yet, every day, founders convince themselves that if they had only built one more feature or made one more sales call, maybe their business would have worked out.

It's brutal to watch. I've had close friends break down in tears, knowing they have to go into their office and fire the whole team before they wind things down.

But the worst part? They were doomed from the start.

The mistake wasn't in the sales calls or the culture, it was in the formation. They were in the wrong business from day one.

Building the wrong business isn't just hard, it's soul-draining. You're throwing everything at the wall, but nothing sticks. It's like pushing a boulder up a hill, only to feel its immense weight push you back to the starting line over and over again.

You're desperate for solutions. You wonder – is it the sales script? The product features? Is it me? Maybe it's the 'culture' those business gurus keep talking about.

But try as you might, it just isn't working.

There's only one reason. You're trying to create a market, spending your time hoping to convince strangers they need whatever you're selling.

There's another way. It's like rolling a snowball down a hill. If you just get the beginning right, the momentum builds on itself, and the business just grows and grows and grows.

How? Stop trying to create markets. Exploit large, early, desperate markets.

If you do this right, it's like selling toilet paper during COVID. You can have subpar features and lousy pricing, and you'll still sell out every time.

The rest of this document will give you an exact, step-by-step process to find your large, early, desperate market. I've broken it down into a rough 90-day timeline, but of course, you can adapt this to your own personal schedule. But if you're willing to put in the work, a life-changing business is only 90 days away. Everything you need is right here.

Step 1: Find your large, desperate, early market (Days 1 - 15)

This is the exact method I used to come up with the business idea that I sold for 9 figures, which I learned from Jeff Bezos.

Before Jeff Bezos founded Amazon, he was a NYC man in finance working at a hedge fund called DE Shaw. Every year, DE Shaw would invest millions of dollars trying to figure out which market trends were happening because they knew if they spotted the right trends early, it could be worth billions.

But one day, Jeff came across a report so crazy, he quit his million-dollar job after reading it.

What do you think was in the report?

The report showed data on the web usage of households, and the number was growing at 2,300% year-over-year.

And Jeff was a smart man. He knew that this was going to disrupt a massive market, traditional shopping, as more people considered buying things online, so he quit his job and started an online bookstore called Amazon.

As of today, that one little insight has made Jeff a cool \$210 billion. Not bad, Jeff.

To find your own large, desperate, early markets, you need data on market trends and the biggest disruptions already happening that are ready to be exploited. But finding that data can be challenging. Here are three time-tested hacks we teach founders.

Idea Hack #1: Consulting Jacking

There are consulting firms that hire hordes of analysts to comb through all the data and try to find the biggest market disruptions happening today. And what's crazy is, they give these reports out for free! Why? Because their actual business model is selling consulting to giant companies for millions of dollars, and they release these white papers as a way to get the attention of giant companies.

So instead of doing all the research, you can leverage the hundreds of thousands of analysts working on these reports and get them for free from these large firms. The 'Big Three' are McKinsey, BCG, and Bain, but there are dozens of others.

Here's a list to get you started:

<https://www.mckinsey.com/featured-insights>

<https://www.bcg.com/publications>

<https://www.bain.com/insights/>

<https://www2.deloitte.com/us/en/insights.html>

<https://www.pwc.com/us/en/library.html>

<https://kpmg.com/us/en/insights-and-resources.html>

https://www.ey.com/en_us/insights

<https://www.accenture.com/us-en/insights-index>

<https://www.rolandberger.com/en/Insights/>

<https://www.capgemini.com/insights/>

Idea Hack #2: VC Trend Jacking

VCs have their own in-house teams of analysts constantly researching markets and trends. They don't always get it right, but the best VCs do have a fairly good pulse on markets and what big shifts are happening.

But, of course, they won't give you that data for free. You need to steal it. Ethically.

How? By looking at recent funding rounds.

Crunchbase is the go-to for this: <https://www.crunchbase.com/>

Another great resource is the YC Database:

<https://www.ycombinator.com/companies>

You can sort by the most recent rounds and see which companies are getting funding now.

You can copy their ideas, but it's much better to use them as input into trends that are happening across markets.

For example, when I was researching for my own startup, Prodigy, I came across numerous startups that were raising millions of dollars to sell cars online, directly to consumers.

Rather than going head-to-head against these well funded companies, I realized it was a signal of a new disruption to the dealership market. So I decided to sell software to dealerships by telling them, 'Hey, VC's are throwing millions of dollars at companies that want to cut you out of the sale – our software lets you sell cars online and fight back.'

Idea Hack #3: Personal Problems

The final option is by far the most recommended by traditional business media, but I've put it last here. Why?

Well, all things equal, it is easier to build a solution for yourself vs. a market you are unfamiliar with. But your market must still be large, early, and desperate. Just because you have the problem does not automatically guarantee that solving it will make for a good business.

Either way, use one, two, or all three of these methods to generate business ideas. I keep a running list of all of my ideas on Apple Notes and check it from time to time.

Once you have your list of potential ideas, you need to systematically evaluate them against our business market criteria – Large, Early, Desperate.

Criteria #1: Large

This one is a simple math problem. We're going to do what's called a 'Bottoms Up Total Addressable Market analysis' or 'Bottoms Up TAM' for short.

To do that, complete the following formula:

of potential customers * expected cost of product = TAM

If you want to build a high-growth business, the TAM should be > \$1b.

Want to raise VC money? At least \$2b.

There are two basic approaches to crossing the billion-dollar hurdle. You can either sell a relatively small purchase to a ton of people (Apple selling iPhones) or you can sell a much more expensive item to fewer people (Tesla).

Both work, but they are run very differently, so think carefully about which type of business you'd rather run.

For my own startup, selling software to car dealerships, the math worked out to:

64,000 New & Used Car Dealerships * \$32,000/yr = \$2.04b

So we passed the test. Barely, but we did. We put that exact equation on every pitch deck we used and were able to raise \$21m from some of the best VCs in the world.

Criteria #2: Early

Only after you've established the size of the market should you check if the market is early. There's a simple question to determine this:

'Is the market experiencing some disruption that is causing a problem that will only increase in future years?'

For my own startup, we found reports that 48% of consumers were open to buying a car online, up from 34% just a few years earlier. Add that to the fact that these new startups were raising millions with slogans like 'skip the car dealership,' and it was clear the car dealerships had a problem that was only going to get worse. We knew we had a hit.

Criteria #3: Desperate

A lot of business ideas will pass the first two checks and still turn out to be terrible ideas because they aren't desperate enough.

Desperate markets allow you to sell less-developed products for higher prices, drastically increasing your profits and growth rates.

The three tests to see if you've found a desperate market are:

- 1 - Are existing solutions addressing this early and growing problem? (If no, why not?)
- 2 - If not, are the existing workarounds good enough? (If yes, your market isn't desperate.)
- 3 - What's your market losing by not having a solution? (The market must have a large real or perceived loss to care about changing.)

For consumer products, the desperation often comes from filling one of the core human desires – love, happiness, status, etc.

For business products, the basics like increasing sales or decreasing expenses, will *always* trump the 'nice to haves' like employee feedback surveys, cool swag, fancy happy hours, etc.

So far, all of this research can be done by yourself with some handy Googling and prompt engineering. But the next step is to validate your assumptions.

Step 2: Validate Market Opportunities (Days 15-30)

There is only one way to validate your research. Live conversations with live humans.

Not LLMs. Not clever market surveys. Real people.

So we need to get in touch with them and talk to them about what they're going through. This process applies to B2C and B2B companies, so don't skip it.

This is not the time to sell, but the time to learn if you are right or wrong. It's critical you go through this process – a few weeks of hard work can save you years of frustration.

So you are going to reach out to potential customers for your business and let them know:

1. You are an early-stage entrepreneur building things in their world
2. You are looking for some brief advice to make sure you're building the right things

How? Simple - find the type of people that might want to buy your future product and reach out to them via email/social media. There's no need to get fancy here. You're not running a sales process, you're just genuinely asking for help. Reach out to as many people as you can. If you want a goal, aim for 50 per day.

Once you get in touch with them, you are going to run a simple customer discovery process.

This is a brief conversation with the following goals:

1. Deeply understand the current problems your potential customers are facing
2. Understand the pain and priority of the problems they are facing
3. Understand the potential solutions the market needs
4. Schedule a follow-up time to show them early versions of a solution to their problems if you end up building it

In this process, it is critical that you do not ask leading questions to reinforce your own desires. An example of this is:

'I've read that XYZ is causing big problems in your business. Are you seeing that too?'

Instead, you should ask them open-ended questions:

'I've read that there are some changes going on in your business. What are the ones that are really causing challenges in your business?'

I can't stress this enough.

It's so tempting to innocently steer the conversation in the direction you're hoping to hear. This is a trap and can lead to overconfidence and years of wasted time if you end up building that solution.

Instead, you want to have so many conversations that you can start to detect problems in your target market and the solutions they are desperately craving.

How many? I recommend 50 conversations. That might sound like a lot, but remember, you're going to be spending years of your life committed to whatever comes out of these conversations.

If you have 5 conversations a day, you can knock this out in 10 days. Not a bad trade-off to know you're building the right thing for the next 5 years of your life.

If you're having a lot of high-conviction conversations around a pressing problem, it might take less than 50. If you're striking out, you might need to go back to Step 1 or have more conversations.

Either way, repeat this process until you have high conviction that you have found a large, early, and desperate market for a solution that you can deliver on.

Step 3: Build a CAB (Days 45-60)

Now it's time to make some sales. But what about the product, you say? We'll get to that later. We're going to sell it first! Seriously. This is the exact method we used to sell over \$500,000 in software before we wrote a single line of code.

What you're going to do is build what's known as a CAB – Customer Advisory Board.

The process couldn't be simpler – in fact, you've already done 90% of the work.

All you need to do is circle back to the people you talked to in step two and show them prototypes of the solution you talked about.

To do this, leverage AI tools, Figma, and other product demo tools to build a clickable prototype of at least a few screens that show what a potential product might look like. Critical – we are not building a real, working product here. We just want something that shows a potential customer what a product *could* look like.

Once you have that, it's time to get in touch with your potential customers again.

Reach out to them and let them know you've been working on the solution you both discussed. Ask them if they have some time to review the early prototype and give feedback to make sure you're building the right thing.

Have the call and walk them through the prototype and seek genuine feedback.

If they are hesitant and feel it's not quite right, thank them for their time and move on.

But if you can sense their excitement and genuine interest, it's time to close them. Here's a rough outline of the script:

"Hey, you know what, this was so valuable, I'd love to find a way for us to continue these conversations occasionally. We're creating a Customer Advisory Board, would you be interested in joining?"

By calling it something and making it sound official, people already have a higher perceived status of it, and will be interested. But what you say next is critical.

You're going to explain to them how it works. Here's the pitch:

"We're putting together a small group of innovative industry leaders to help guide our product development and shape the product we're building. As a part of the Customer Advisory Board, you'd get the benefit of having direct access to our team and a voice to shape the roadmap so we make sure we build the best product for you.

And of course, to do that, you'd need to actually be using the product, but don't worry, if you're interested in joining, we'd give you a XX% lifetime discount (I personally like 70%) so you'd also be getting an insane deal.

All we ask in return is that you actually use the product, give us honest feedback, and also let us use your success as a reference as we grow our business.

If you're interested, let me know and I can send over the paperwork (which also makes this sound more official). There's no binding agreement to buy our product, but the LOI helps us lock in your place on the CAB and let us know you're serious about this."

And that's it!

Your goal is to get a minimum of 5 CAB members at this stage, preferably 10. These people will be your first customers and your advocates, and references for future customers.

Step 4: Launch a Black Car Product (Days 60-90+)

Now, it's finally time to actually build that product.

You've already mocked up a prototype, you've already got paying customers waiting for you to deliver it, so building the product should be relatively straightforward at this point.

The biggest mistake you can make at this stage is trying to build a really impressive product that wows your customers with all sorts of bells and whistles. You might think this is best, but this only leads to slower development times, more wasted money, and, ultimately, kills the business.

At this stage, you need to take the complete opposite approach and build what I call your Black Car Product.

It's inspired by one of the greatest entrepreneurs of all time, Henry Ford, and his famous quote:

"Any customer can have a car painted any color that he wants, so long as it is black."

And this is the perfect metaphor for building your first product. Your product should be a Black Car Product – a product so narrowly scoped that it is a singular tool designed to solve one problem and one problem only. And until you've sold that product repeatedly, you do not build additional features to solve additional problems.

So get out, ship your product, and earn some customers.

And...that's it!

If you've followed these four simple steps, you should have a valid business that has a real chance of turning into a multi-million, if not billion-dollar, company. Of course, there are many more steps to go from V1 of your product to exit. But this 90-day sprint gives you a massive leg up.

This is the exact process I used for my own startup, but I've seen it work time and time again with dozens of founders across the globe.

What's next?

Our primary value add at L7V is helping our founders go from launch to exit with a systematic, no-guessing framework.

We've been using these private frameworks, processes, and tools for years with massive success, and we're working hard to turn these into a mentorship program we can use to help founders not in our portfolio.

If you want early access, go here: L7V.com/mentor